

PS8_Zavala

emilian zavala

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1 Introduction

2 OLS Estimates

Table 1 reports the OLS estimates of $\hat{\beta}$ obtained using `lm()`. The estimates are very close to the true β values used to generate the data in equation (1). For example, the estimate for β_1 is approximately 1.501, compared to the true value of 1.5. The small differences are due to random noise introduced by ε , which was drawn from $N(0, 0.25)$.

Table 1

<i>Dependent variable:</i>	
	Y
X1	1.501*** (0.002)
X2	−0.996*** (0.002)
X3	−0.249*** (0.002)
X4	0.747*** (0.002)
X5	3.502*** (0.002)
X6	−1.999*** (0.002)
X7	0.501*** (0.002)
X8	0.999*** (0.002)
X9	1.253*** (0.002)
X10	1.999*** (0.002)
Observations	100,000
R ²	0.991
Adjusted R ²	0.991
Residual Std. Error	0.500 (df = 99990)
F Statistic	1,080,712.000*** (df = 10; 99990)
<i>Note:</i>	*p<0.1; **p<0.05; ***p<0.01